Unit V

Management of Change:

- **Change and Organizational development**
- **Resistance to change**
- **Approaches to managing organizational change**
- **Organizational effectiveness**
- **Organizational culture**
- **Power and Politics in Organizations**
- **Quality of work life, Recent advances in OB**

ORGANISATIONAL CHANGE

Meaning & Definition of Organisational Change

Change refers to any alternation that occurs in total work environment. Generally people are accustomed to a well-established way of life and any variation or deviation from that life may be called a change. Organisational changes are the changes of attitude, natures and interest of employees, technological and environmental changes related to an organization and changes in rules and regulations affecting the organization.

Organisational change involves disequilibrium in the situation and environment in which the people and the group exist.

According to Francis and Sinclair, "Organisational change is an ongoing process of social construction that comprises spiral patterns of discursive change and restructuring of collective meanings."

According to Organisation Development and Research Organisation, "Organisational change is the implementation of new procedures and technologies intended to realign an organization with the changing demands of its business environment or to capitalize on business opportunities."

According to Van de Ven and Poole, "Organisational change was expressed as an empirical observation of difference in form, quality, or state over time in an organizational entity. The entity may be an individual's job, a work group, an organizational strategy, a programme, a product, or the overall organization."

RESISTANCE TO CHANGE

Meaning and Definition of Resistance to Change

Resistance to change involves employees behavior designed to discredit, delay or prevent the changes introduced for the development of an organization. They resist because they are afraid of their job security, working conditions, status, regression and others factors. The perceived threat may be real or imaginary. They complain about the ineffectiveness of changes which may harm them more than benefiting the organization. The resistance is overcome by persuasion and by providing them with job security. The employees are given an assurance of rewards and better working conditions. It is clear that all employees do not resist the changes because they are benefited by such changes. Such persons are used as initiators.

Changes are made by an initiator or change agent. If the benefits of change are accepted at one point, its impact on other areas is easily visible. It creates an impact on the total organization. Change chain is introduced to make changes more effective. The benefits of change are circulated to other areas. But, if the change is opposed by some persons, its impact spreads to other areas too. A chain reaction effect takes place in the organization. If employees are poorly educated, they resist change more than some other employees. Educated employees understand the benefits of changes. The important point of change is that the employees must be taken into confidence. They should be consulted and they must cooperate with the change ideas.

TYPES OF RESISTANCE

Resistance to change takes different forms which are as follows:

1) **Psychological Resistance:** Many resistances are psychological, i.e., sentimental, perceptual and emotional. The employees are directed by their feelings and self esteem. The resistances are not real but employees feel them to be very real and important. The fear of termination, fear of loss of pay and loss in status are the important causes of psychological resistances.

2) **Sociological Resistance:** A group believes changes to be non-essential. The society is also not in favour of changes. They find that changes are against the group interests, norms and values. Social values must be considered a powerful force against changes. Society feels them to be useless and against the established norms of the social system. Sometimes, the resistance can be purely political and sponsored by the union. Group resists the changes on several grounds such as uprooting social norms and devaluating social standards.

3) **Logical Resistance:** Resistance is considered logically opposed to the existing techniques. Changes are not desirable at present. They may be beneficial in the future. The technical feasibility of changes is not possible. Changes involve a high cost and less benefit. The management should evolve the costs and benefits of changes. If the costs are higher than the benefits, the change is avoided. Similarly, if benefits are more than the costs, changes are accepted. The costs and benefits are calculated for a longer period.

REASONS FOR RESISTANCE TO CHANGE

Reasons for resistance to change are as follows:

1) **Economic Threat:** Sometimes changes could be perceived as a threat to the economic well being of individuals. Many technological advances of the modern era could be perceived as threats to jobs and the economic security of employees. The economic threat then becomes very real in the minds of the employees who tend to resist changes, despite the fact that the new technology replacing the old would open up avenues of employment that would make up for the loss of displaced personnel.

2) **Social Concerns:** Sometimes even simple changes to structural factors such as the layout of the workplace could be resisted by employees because these upset their social setup. Social relationships established among members of a group motivate their behavior because of the group norms that are developed.

3) **Because of the Felt Need for Security Blanket:** Apart from economic and job security, employees like to have some predictability and structure in their work lives. The need for this security blanket also makes them apprehensive about changes.

4) **Apprehension about Undermining of Status and Authority:** An added fear is that when changes in technology or improvements in work methods are introduced, supervisors might feel that their authority and status are undermined.

5) **Need for Retooling and Retraining:** Closely allied to the security blanket is the concern for retooling and retraining oneself. In other words, the knowledge that one has to performs learn new ways of performing might also be a factor in resisting change.

6) **Fear of Unknown:** Anything new is perceived as a threat and would generally be resisted, especially by those who have low tolerance for ambiguity or are on the verge of retirement. A total unawareness of how the changes would affect them poses a threat to employees, who would then resist change.

7) **Perceived Anxiety about Resource Allocation:** Those currently enjoying an abundance of resources by way of materials, staff, budgets and so on would be concerned about the possibility of their depletion when changes are introduced. Unless they are assured that their resources would not be adversely affected by the change, they are likely to resist it.

8) **Structural Changes:** Employees behavior is patterned in predictable ways that offer comfort in knowing what to expect. When structural changes are made in response to environmental demands and a loose organic structure replaces the old, employees could feel normless and hence might resist the change.

9) **Non-Involvement in Change Process:** Quite often resistance stems from the fact that employees are not consulted regarding the changes initiated by managers. When changes are incorporated with very little input from those who are affected by them, employees have no stake in ensuring that the new system works. If on the other hand, the changes

incorporate employees' ideas and inputs, they would be personally interested in making the change work. Not only will they not resist change, but they would also work hard to ensure its success.

OVERCOMING RESISTANCE TO CHANGE

Some of the specific strategies employed to manage the resistance to change are shown in figure below:

1) **Participation and Involvement:** Individuals will find it difficult to resist the change which they participated. Prior to making a change, all those persons who are going to be affected by the change, can be brought into the decision making process. Their doubts and objectives should be removed to win their cooperation. This involvement of the workers can overcome resistance, obtain personal commitment and increase the quality of the change decisions.

2) **Communication and Education:** If the employees do not have adequate information or if the information that they have is inaccurate, then it is necessary to educate them about the change, when is it to be introduced, why is the change needed, how will it be implemented, its process and its working.

3) **Leadership:** The greater the prestige and the credibility of the manager, who is acting as a change agent, the greater will be his influence upon the employees who will be involved in the change process.

4) **Negotiation and Agreement:** Negotiation and agreement technique is used when costs and benefits mist be balanced for the welfare of all concerned parties. This is often used in bargaining with labour unions. It is especially important in situations where the individuals or groups will end up as losers as a result of the change and where such individuals and groups have considerable power to resist.

5) **Willingness for the Sake of the Group:** Some individuals may be willing to accept change, even if they are not totally satisfied with it, if the group that they belong to is willing to accept the change. This is especially true about the individuals who have a continuous psychological relationship with the groups so that there is group "cohesiveness' or group togetherness.

6) **Timing of Change:** Timing of introduction of change can have a considerable impact on the resistance. There is always a right time and a wrong time for introducing something new. The right time, obviously will meet less resistance. Therefore must be very careful in choosing the time when the organizational climate is highly favourable to change.

7) **Building Support and Commitment:** Change agents can offer a range of supportive efforts to reduce resistance. When employees' fear and anxiety is high, employee counseling and therapy, new-skills training or a short paid leave of absence may facilitate

adjustment. Research on middle managers has shown that when managers or employees have low emotional commitment to change, they favour the status quo and resist it. So, firing up employees can also help them emotionally commit to the change rather than embrace the status quo.

8) **Manipulation and Co-optation:** Manipulation refers to covert influence attempts. Twisting and distorting facts to make them appear more attractive, withholding undersirable information and creating false remours to get employees to accept a change are all example s of manipulation. If corporate management threatens to close down a particular manufacturing plant if that plant's employees fail to accept an across-the-board pay cut and if the threat is actually untrue, management is using manipulation. Co-optation, on the other hand, is a form of both manipulation and participation. It seeks to "buy off" the leaders of a resistance group by giving them a key role in the change decision. The leaders advice is sought, not to seek a better decision, but to get their endorsement. Both manipulation and co-obtain are relatively inexpensive and easy ways to gain the support of adversaries, but the tactics can backfire if the targets become aware that they are being tricked or used. Once discovered, the change agent's credibility may drop to zero.

9) **Selecting People who Accept Change:** Research suggests that the ability to easily accept and adapt to change is related to personality. It appears that people who best to change are those who are open to experience, take a positive attitude toward change, are willing to take risks and are flexible in their behavior.

10) **Coercion:** Last on the list of tactics is coercion, i.e., the application of direct threats or force on the resisters. If the corporate management really is determined to close a manufacturing plant if employees don't agree to a pay cut, then coercion would be the label attached to its change tactic. Other examples of coercion are threats of transfer, loss of promotions, negative performance evaluations and a poor of recommendation.

BENEFITS OF RESISTANCE TO CHANGE

Resistance is not all bad. It can bring a broad range of benefits which are:

1) **Re-Examination of Change Proposals:** Resistance may encourage management to re-examine its change proposals, thus making sure they are appropriate. In this was employees operate as part of a system of checks and balances that ensures that management properly plans and implements change. If reasonable employee resistance causes management to screen its proposed changes more carefully, then employees have discouraged careless management decisions.

2) **Identification of Problem Areas:** Resistance also can help identity specific problem areas where a change is likely to cause difficulties, so that management can take directive action before serious problems develop. At the same time, management may be encouraged to do a better job of communicating the change, an approach that in the long run should lead to better acceptance.

3) **Provides Information:** Resistance also gives management information about the

intensity of employees emotions on an issue, provides emotional release for pent-up employee feelings, and may encourage employees to think and talk more about a change so that they understand it better.

APPROACHES TO MANAGING ORGANISATIONAL CHANGE

After years of failed change efforts, researchers are saying that knowledge of the change process is crucial. To succeed one need to cognize what he know about successful change before and during the change process. To this end, five of the most well known and popular models or approaches to managing organizational change are:

Kurt Lewin's Theory of Planned Change/Steps in Planned Changes

In any organization, there are people who push for change and there are individuals who desire status quo. And the two groups may be equal in their force. Kurt Lewin developed the Force Field Theory,

Lewin FieldTheory of Change

which demonstrates how forces for and against change balance and how the organization is balanced at any time, between these two opposing forces. When these forces are in balance, the organization is in a state of inertia and does not change. To get the organization to change, managers must adopt a change strategy to increase the forces for change, reduce the resistance to change, or do both simulataneously.

Before reviewing each stage, it is important to highlight the assumptions that underlie this model:

1) The change process involves learning something new, as well as discontinuing current attitudes, behaviours, or organizational practices.

2) Change will not occur unless there is notivation to change. This is often the most difficult part of the change process.

3) People are the hub of all organizational changes. Any change, whether in terms of structure, group process, reward systems, or job design, requires individuals to change.

4) Resistance to change is found even when the goals of change are highly desirable.

5) Effective change requires reinforcing new behaviours, attitudes, and organizational practices.

As seen in figure, at P! the organization is in the state of inertia as the forces for and against change are in balance. However, managers have determined that the organization should strive to achieve a performance level of P2. To do this, managers must increase the forces for change (as the longer arrows demonstrate), reduce resistance to change (as demonstrated by the shorter arrows), or do both. If they succeed in any one of these strategies, the organization will reach the desired performance level of P2.

LEWIN'S CHANGE MODEL

According to "**Kurt Lewin's**" Force Field model, effective change occurs by unfreezing the current situation, moving to a desired condition, and then refreezing the system so that it remains in this desired state. Popularly called, three-stage model of change system, Lewin's theory is highly useful in understanding the ways of managing change. The three stages are as follows:

1) **Unfreezing:** The manager as a change agent has to assume the responsibility to break open the shell of complacency and self-righteousness among his subordinates. He has to identify the background factors contributing to resistance to change. He should explain to the subordinates the problems with the present state of affairs, the need for change, the pace and volume of proposed change, the direction and the implications of such change, etc. The manager should also clear all the nagging doubts of the subordinates about the proposed change. This is essential to prepare the workers to develop favourable attitude about change.

Unfreezing calls for loosening of emotional link with the status quo, i.e., old work methods and practices, it leads to unlearning of old things to learn new ones. The individuals are made to feel that they have to give up the old work-habits, for learning new types of behavior. The forces which drive change should be strengthened and the forces which discourage change should be weakened. Rewards may be offered to those who accept the change. The workers who resist change should be persuaded to accept the change.

CHANGE PROCESS

2) **Introducing Change or Moving to the New Level:** Once the subordinates become receptive to change, the manager should introduce the proposed change in a systematic manner with the full cooperation of subordinates. They should be guided and helped to learn new methods and techniques implicit in the proposed change. To achieve this, two mechanisms may be used:

i) **Identification:** Change is presented through role models from whom individuals can learn new behavior patterns by identifying them and trying to become like them. In other words, individuals are educated about the nature and implications of change and motivated to develop favorable attitude about the change. They are persuaded to learn new work methods and patterns of behavior by observing their superiors or 'role models'.

ii) **Internalization:** The individuals are placed in a situation in which new behavior patterns are demanded of them if they are to succeed in that situation. Through this, the individuals are able to internalize new patterns of behavior.

Both the above mechanisms are combined to bring about the desired change. Besides these, force may be used for inducing change. It implies punishments and withholding of rewards by the superior to force the individuals comply with the change. It may be noted that several problems crop up during the stage of

implementation, some of which might be totally unforeseen. These are to be handled by the manager in cooperation with his subordinates, as far as possible.

3) **Refreezing at the New level:** It is the phase of stabilization, assimilation and institutionalization of the changes which are successfully implemented. The changes which are accomplished should remain as a stable and permanent characteristic of the system until need arises for another change.

The new roles, relationships and behavioural patterns must take on the characteristics of habits. If this is not done, the individuals may revert back to the old patterns after some time. Change becomes stabilized only if enough reinforcements (rewards) are provided for desired behavior. The individuals should get a genuine feeling that the benefits generated by the change are worthwhile.

KOTTER'S EIGHT-STEP PLAN

Building on Lewin's three-step change model, John Kotter of Harvard University developed a more detailed approach for managing change. Kotter began by listing common errors that leaders make when attempting to initiate change. These included the inability to create a sense of urgency about the need for change, failure to create a coalition for managing the change about the need for change, failure to create a coalition for managing the change process, the absence of a vision for change, failure to effectively communicate that vision, failure to remove obstacles that could impade the achievement of the vision, failure to remove obstacles that could impede the achievement of the vision, failure to provide short-term achievable goals, the tendency to declare victory too soon, and failure to anchor the changes into the organisation's culture. Based on these errors, Kotter proposed an eight-step process for managing change.

Table : Kotter's Eight-Step Process for Implementing Change

	Steps	**Description**
1)	Establish a sense of urgency	Unfreeze the organization by creating a compelling reason for why change is needed.
2)	Create the guiding coalition	Create a cross-functional, cross-level group of people with enough power to lead the change.
3)	Develop a vision and strategy	Create a vision and strategic plan to guide the change process.
4)	Communicate the change	Create and implement a communication strategy that consistently
	vision	communicates the new vision and strategic plan.
5)	Empower broad-based action	Eliminate barriers to change, and use target elements of change to transform the organization. Encourage risk-taking and creative problem solving.
6)	Generate short-term wins	Plan for and create short-term "wins" or improvements.

		Recognize and reward people who contribute to the wins.
7)	Consolidate gains and produce more change	The guiding coalition uses credibility from short-term wins to create more change. Additional people are brought into the change process as change escades throughout the organization. Attempts are made to reinvigorate the change process.
8)	Anchor new approaches in the culture	Reinforce the changes by highlighting connections between new behaviours and processes and organizational success. Develop methods to ensure leadership development and succession.

Note how Kotter's steps build on Lawin's model. Kotter's first four steps represent lwein's "unfreezing" stage. Steps 5 through 7 represent Lewin's "moving" stage. The final step corresponds to Lewin's "refreezing" stage. Thus, Kotter's contribution provides leaders and change agents with a more detailed guide for managing change successfully.

GRIENER'S SIX-PHASE PROCESS

Another well-known and popular model of the change process emphasizes the role of the change agent. A change agent is the individual, from inside or outside the organization, who takes a leadership role in initiating the change process. This change process must involve two basic ideas for the change to be effective:

1) Successful change requires a re-distribution of power within the existing structure. Successful change is characterized by a greater degree of shared power within the organizational hierarchy.

2) This re-distribution of power occurs as a result of a developmental change process. In other words, it is a sequential process rather than a sudden shift.

Figure below depicts six phrases through which change may occur in organizations. In this figure, top administration plays a key role as change agent. The potential for change also exists at all levels of leadership and operating responsibilities in the organization. **Figure below** shows change taking a top-down pattern: it may also occur from bottom-up or middle-outward patterns. In each case, however, leaders play key change agent roles. The following list summarized the activities in each phase of the total developmental process:

MODEL OF SUCCESSFUL ORGANISATIONAL CHANGE

Phase 1: Pressure and Arousal

The process begins when the administration feels a need or pressure for change. This pressure can be exerted by external factors such as increased competition, economic changes, or federal and

state mandates. Or it may be felt because of internal factors such as a sharp decline in productivity, high absenteeism and turnover, serious employee unrest, and excessive employee grievances. The need for change is more readily apparent of there are both external and internal pressures that do not offset each other.

Phase 2: Intervention and Re-Orientation

Although leaders may sense the need for change, they may not be able to analyze its problems accurately and thereby make the correct changes. When under severe pressure, leaders may rationalize its problems by blaming them on another group such as the employee union or the federal or state government. Leaders may be capable of managing the change process if they are perceived as expert and are trusted. If not, an outside consultant or change agent is often brought in to definite the problem and begin the process of getting organization members to focus on the problem.

Phase 3: Diagnosis and Recognition

In the third phase of successful change, the entire organization becomes involved in determining the true causes of problems requiring change by gathering relevant information. A shared approach between the leader and staff is common in this stage. The decision-making process has been broadened as the leaders shows her willingness to recognize tough problems and to change. Diagnosis of the problem areas leads to recognition of specific problems. This step tends to be avoided in efforts involving unsuccessful change.

Phase 4: Invention and Commitment

After the problem is recognized, the organization moves toward creative solutions to the problems that have been identified. The shared approach again predominates in this phase. If organization members are encouraged to participate in this process, they will probably be more committed to the solutions.

Phase 5: Experimentation and Search

The solutions developed in phase 4 are usually tested in small-scale pilot programmes and the results analyzed. For example, in a large organization, one department may try-out an idea before it is attempted in the organization as a whole. In this way, the leader can work out the bugs before introducing the change on a large scale. Through control mechanisms, the leader determines to what degree the planned change is succeeding in remedying the problem, how well it is being received, and how implementation can be improved.

Phase 6: Reinforcement and Acceptance

Finally, if the course of action has been tested and found desirable, it should be accepted more willingly. Furthermore, individuals need to be reinforced for making the change successful. The positive feedback coming from the pilot programmes in phase 5 add reinforcement to the change process. Other techniques for reinforcing acceptance include praise, recognition, promotion, salary increases and continued participation in the change process.

ORGANISATIONAL EFFECTIVENESS

Meaning & Definition of Organisational Effectiveness

Organisational effectiveness is the extent to which an organizational achieves its goals with the given resources and means. An organization is said to be effective if it is able to achieve its goals. The goals must be achieved within the constraints of limited resources as none of the resources provided by an organization achieves with its limited resources determines its efficiency, and the extent to which it is successful in doing what is set out to do determine its effectiveness.

Though we use the term 'organisational effectiveness' more often, it is rather difficult to define the term precisely. This is because the finance manager equates effectiveness with return on investment or market capitalization while the marketing manager equates effectiveness with increase in sales. Human resources managers prefer to mean effectiveness with employee satisfaction while Research and Development Managers mean effectiveness to innovations. However, there are certain comperehensive definition on effectiveness.

Organisational effectiveness is the extent to which an organization, given certain resources and means, achieves its objectives without placing undue strain on its members.

According to Amitai Etizioni, "Effectiveness is the degree to which with organization realizes its goals".

According to Price, "Organisational effectiveness is the degree of achievement of multiple goals".

According to Paul E. Mott, "Effectiveness is the ability of an organization to mobilize its centers of power for action-production and adaptation".

According to Black and Mounton, "Organisational effectiveness, is achieved when management succeeds in being both production and people centered".

According to Hannan and Freeman, "Organisational effectiveness is the degree of congruence between organizational goals and observable outcomes".

Thus, organizational effectiveness is more concerned with the achievement of organizational objectives. The term efficiency is used quite closely effectiveness.

Importance of Organisational Effectiveness

Organisational effectiveness is important because:

1) It enhances the potential for job success, promotional opportunities, and longevity with the employer.

2) It provides a structure for organizing one's work.

3) It increases understanding of the way big organizations operate.

4) It challenges the way organizations operate.

LEVELS OF ORGANISATIONAL EFFECTIVENESS

Achievement of organizational objectives efficiently is the outcome of organizational effectiveness. But it depends on the contribution of the individual employees, groups and total organization;

1) **Individual Effectiveness:** Individual effectiveness depends upon the employee's positive attitude, commitment to and involvement in organizational activities. Individual's contributions to organizational effectiveness depend on individual's skills, abilities, aptitude, emotions, knowledge, attitude motivation and stress.

2) **Group Effectiveness:** Employees today prefer to work along with others in order to satisfy their individual needs and achieve organizational goals through the impact of synergy. Consequently, groups and employees in a group contribute much to the organizational success. Group contribution to organizational effectiveness depends upon group cohesiveness, leadership, group structure, status, roles and norms.

3) **Organisational Effectiveness:** Effective contributions of individual employees and groups result in organizational effectiveness. Organisational effectiveness depends upon individual's contribution in addition to environment, technology strategic choice, organizational structure, process and organizational culture.

ORGANISATIONAL CULTURE

Organisational culture is the accumulated tradition of the organizational functioning. It is based on certain values, norms and positive attitudes of an organization. Organisational environment becomes a culture if it is used for motivating people to avoid any friction and adopt the valuable tradition of the organization. Organisational culture is intangible and functions like invisible hands which guide the employees of an organization for better performance and more satisfaction. It influences everybody and is also influenced by everybody's thinking and action.

Corporate culture includes the behavioural patterns, concepts, value, ceremonies, and rituals that take place in the organization. It gives the members of the organization meaning as well as the internal rules of behavior. When these values, beliefs, customs, rules, and ceremonies are accepted, shared, and circulated throughout the organization, they represent its culture. All organizations, not just corporations, have some sort of culture, and thus the terms organizational culture and corporate culture interchangeably.

Organisational culture is the invisible power which is accumulated through the constant efforts of its people. It is belief. Common perception and understanding of an organization. This unique feature of the organization makes it distinctive from other organizations. The experiences and manner of performing are instrumental in forming the organizational culture. It is the environment under which an employee deals with its organization and an organization deals with its employees.

According to O' Reilly, "Organisational culture is the set of assumptions, beliefs, values, and norms that are shared by an organisation's members'.

According to Gareth Morgan, "Organisational culture is the set of beliefs, values, and norms, together with symbols like dramatized events and personalities that represents the unique character of an organization, and provides the context for action in it and by it."

The organisation's base rests on management's philosophy, values, vision, and goals. This in turn drives the organizational culture which is composed of the formal organization, informal organization, and the social environment. The culture determines the type of leadership, communication, and group dynamics within the organization. The workers perceive this as the quality of work life (QWL) which directs their degree of motivation. The final outcomes are performance, individual satisfaction, and personal growth and development. All these elements combine to build the model or framework that the organization operates from.

TYPES OF ORGANISATIONAL CULTURE

Types of culture present in an organizational are below;

1) **Mechanistic and Organic Cultures:** The mechanistic organizational culture exhibits the values of bureaucracy and feudalism. Organisational work is conceived as a system of narrow specialism and people think of their careers mainly within these specialisms.

   Contrast is the organic culture. Formal hierarchies of authority, departmental boundaries, formal rules and regulations, and prescribed channels of communications are frowned upon. There is great deal of emphasis on task accomplishment, team work, and free flow of communication-formal & informal.

2) **Authoritarian and Participative Culture:** In the authoritarian culture, power is concentrated on the leader and obedience to orders and discipline is stressed. Any disobedience is punished severely to set an example to others. The basic assumption is that the leader knows what is good for the organization and he or she always acts in its interests.

   The participative culture is premised on the notion that people are more committed to the decisions that are participative, than to those which are imposed on them. Further, problem-solving group leads to better decisions because several new points and information are shared during discussions. Participative cultures tend to emerge where most organizational members are professionals or see themselves as equals.

3) **Strong and Weak Cultures:** In a strong culture, the core values of the organization are widely shared eagerly embraced by a large number of employees who are deeply committed to them. A strong culture will have a significant influence on employee behavioural manifesting in reduced turnover, lower absenteeism, in creased cohesiveness, and positive attitudes.

   A week culture is characterized by the presence of several sub-cultures, sharing of few values and behavioural norms by employees, and existence of few sacred traditions. In weak-cultured organizations, there is little cohesion across the organization-top executives do not repeatedly expose any business philosophy or exhibit commitment to particular values or admire the use of particular operating practices.

4) **Dominant and Subcultures:** Dominant culture, thus, denotes the core values which are shared by majority of the employees in the organizations it is the macro-cultural perspective that presents the organisation's personality.

Sub-cultures are denoted by units/departments/geographic separations. They are mini cultures within the company.

ADVANTAGESOF ORGANISATIONAL CULTURE

The advantages of organizational culture are as follows:

1) **Increasing Cohesiveness among Members:** Culture keeps the people together and increases the cohesiveness or bondage among its members.

2) **Creates Distinction Between Units in Organisation**: Culture performs boundary-defining role. In other words, it creates distinction between one unit and another unit of the same organization and between one organization and another organization.

3) **Sense of Commonality:** It conveys a sense of commonality among organizational members.

4) **Sense of Identity:** It conveys a sense of identity among the members.

5) **Social System:** It creates a social system of shared values.

DISADVANTAGESOF ORGANISATIONAL CULTURE

The disadvantages of organizational culture are as follows:

1) **Culture Restricts Organisation to Change as per Environmental Demands:** When the organization is operating as a dynamic environment, culture does not allow the organization to change in accordance with the environmental demands.

2) **Culture Demand New Employees to Confirm to its Values:** New entrants bring diversified cultures into the organization. But the strong cultures demand new employees to confirm to its values rather than modifying it through their diversified culture, whatsoever their merits may be.

3) **Breakage of Various Business Alliances:** Many business alliances like mergers and acquisitions, today, are tending towards divorce due to the strong cultures of the partner to the alliance.

POWER

Meaning and Definition of Power

The term 'power' may be defined as the capacity to exert in influence over others. If a person has power, it means that he is able to influence the behavior of other individuals. The essence of power is control over the behavior of others. "In one's role as a supervisor, a manager's power may be seen as the ability to cause subordinates to do what the manager wishes him to do". A manager's power may be measured in terms of the ability to:

1) Give rewards,
2) Promise rewards
3) Threaten to withdraw current
4) Withdraw current rewards,
5) Threaten punishment, and
6) Punish

Power is the degree of influence an individual or group has in decision-making, without being authorized by the organization to do so.

According to Stephen P. Robbins, "Power is the ability to influence and control anything that is of value of others".

Power is used not only in getting a certain result achieved but it includes impact on negative decisions, or the action of not deciding also. Therefore power is not only one's influence over the decision-making, but also one's capability of limiting the scope of actual decision-making.

IMPORTANCE OF POWER

The importance of power can be analyzed in two ways:

1) **Necessary for Coordinated activities:** power is required in the organization for the effective performance of activities of the people. In its absence, there may be chaos which is undesirable because:

i) People become upset and insecure in the presence of chaos, and

ii) Chaos prevents the synergistic benefits that are gained from effective organizations. Thus, many benefits of modern organizations cannot be obtained without the viable exercise of power in some from. People may be willing to obey the power, although without any legitimacy. It has been observed that 'person may like success more than he dislikes being controlled by another's power.'

2) **Basis for Authority and Responsibility:** Power is commonly recognized as the basis of authority and responsibility. In one way, authority can be viewed as one of the prerequisites of power. If the source of authority system in the form of formalization is traced, it may be found in power. The dominant values of the society are nothing but power in the society which is gradually transformed into these systems. In modern organizations too, the authority system is backed by the power system. This is why some

persons may have less formal authority but they are able to exercise more authority because of the power which they have. Alternatively, some may have more authority, but actually their exercise of authority is limited because of the power system which operates in the orgaisation.

Power is also the basis of responsibility. Responsibility is the obligation to carry on ant function or discharge of duty. In formal organizations, responsibility is fixed on the basis of allocation of activities through the process of organizing. However, the real cause of accepting responsibility is somewhat mo0re deep-rooted. Psychologists suggest that responsibility is a function of personally which, in turn, is largely shaped by significant person in the early childhood.

Political Behaviour in Organisation

Political behavior described activities carried-out for the specific purpose of acquiring, developing, and using power and other resources to obtain one's acquiring, developing, and using power and other resources to obtain one's preferred outcomes. Political behaviour may be undertaken by managers dealing with their subordinates, subordinates dealing with their managers, and managers and subordinates dealing with others at the same level. In other words, it may be directed upward, downward, or laterally. Decisions ranging from where to locate a manufacturing plant to where to put the company coffee-maker are subject to political action. In any situation, individuals may engage in political behavior to further their own ends, to protect themselves from others, to further goals they sincerely believe to be in the organisation's best interests, or simply to acquire and exercise power. And power may be sought by individuals, by groups of individuals, or by groups of groups.

Common Political Behaviours

Research has identified four basic forms of political behavior widely practiced n organizations:

1) **Inducement:** It occurs when a manager offers to give something to someone else in return for that individual's support. For example, a product manager might suggest to another product manager that she will put in a good word with his boss if he supports a new marketing plan that she has developed.

2) **Persuasion:** It relies on both emotion and logic. An operations manager who wants to construct a new plant on a certain site might persuade others to support his goals on grounds that are objective and logical (heating will be less expensive, taxes will be lower) as well as on grounds that are subjective and personal.

3) **Creation of an Obligation:** It creates an uncomfortable business relationship. For example, one manager might support a recommendation made by another manager for a new advertising campaign. Although he might really have no opinion on the new advertising campaign. Although he might really have no opinion on the new campaign, he might think that, by going along, he is putting the other manager in his debt and will be able to "call in" that debt when he himself wants to get something done and needs additional support.

4) **Coercion:** It is the use of force to get one's way. For example, a manager may threaten to

withhold support, rewards, or other resources as a means of influencing someone else.

QUALITY OF WORK LIFE (QWL)

Meaning and Definition of QWL

Organisations, in the past, gave more importance on innovative technology for higher productivity surpassing the needs and mental state of its employees. This created a negative impact on the working environment among the employees. Thus it was realized that societal support goes hand-in-hand with technical innovations. This integration can only be made through quality of work life programmes.

The term quality of work life has different meanings to different people. Some consider it industrial democracy or co-determination with increased employee participation in the decision-making process. For others, particularly managers and administrators, the term denotes improvements in the psychological aspects of work to improve productivity. Unions and workers interpret it as more equitable sharing of profits, job security, and healthy working conditions. Others view it as improving social relationships at workplace through autonomous workgroups. Finally, others take a broader view of changing the entire organizational climate by humanizing work, individualizing organizations, and changing the structural and managerial systems.

According to Harrison, "QWL is the degree to which work in an organization contributes to material and psychological well bring of its members".

According to D.S. Cohan, "QWL is a process of joint decision-making, collaborations and building mutual respect between management and employees".

According to J. Richard and J. Loy, "QWL is the degree to which members of a work organization are able to satisfy important personnel needs through their experience in the organization".

Objectives of QWL

The main objectives of the QWL programmes are:

1) To improve employee satisfaction and create a positive attitude in the mind of employees;

2) To improve physical and psychological health of employees, which creates positive feelings and reduction stress;

3) To enhance productivity of employees and improve the standard of their living.

4) To reinforce workplace learning;

5) To improve management of the ongoing change and transition;

6) To build the image of the company as best in recruitment, retention, and general motivation of talents;

7) To increase the effectiveness of the organization (profitability, goal accomplishment, etc.); and

8) To help employees in the effective integration of their work and personal life.

RECENT ADVANCES IN OB

Organisations have considerably advanced in the field of structure, operation, and people in this modern era. Technical advancement has taken the place of manual man power. Quality-based functioning is preferred than quantity-based. Jobs have become instable and insecure for the subordinates. They have flat hierarchy and horizontal structure which is based on the tasks to be accomplished. There is rapid increase in the competition in the market. Cross-culture management has emerged which has given a considerable change in the role of gender differentiation. Organisation has more emphasis on the sound system of training. The new systems demand for more technical issues, feedback, reference issues, normative issues, social feedback which helps in building an ability to perform the job efficiently. It has various features as they to work on different legal, political and economic system, face tough competition from multinationals as well as from the local industries, need to be flexible, organizational structure is flat, prefer to appoint the people with global view, need to train multi-skills to the employees, special training in respect of cross-culture and socialization, to maintain a balance between countries to maintain good relations for the sake of running effective business in their country. It is very essential to maintain global culture within the organizations to have effective and fruitful business in various countries by creating clear and simple background which supports their culture and needs. They need to develop global career paths and to use cultural differences as a major asset.

Organisations have developed a lot from the older times in respect of structure, operations, and people. There is a considerable change in the cross-culture environment, influence of MNCs, growth in the technical know-how and quality management which has provided different environment in the modern organizations.

1) **Multiculturalism:** It has taken rise in the modern organization which has given good insight to understand the behavior of people of different cultures. It helps the managers to handle the employee's energy to accomplish the organizational goals. It further enables employee's to be united and grow together. It has emerged in the organizations which have given rise to differences in the role. Men and women both are enjoying the higher level jobs and remuneration. It has also given rise to the differences in the achievement motivation by setting difficult goals, giving lot of feedback, taking lot of responsibility of work and by encouraging an action-orientation. Cross-culture has led to differences in work values and motivation factors, social loading, decision-making, conflict handling, leadership behavior, and differences in personality.

2) **Networking of Organisations:** Organisations that flatten tend to encourage horizontal communication among workers. Rather than working through the organizational hierarchy, it is often faster for workers who need to coordinate with each other simply to communicate directly. Such organizations are highly networked.

   Networked organizations are particularly important in industries with complex products where technologies and customer needs change rapidly, such as in high technology

industries. The trend towards networked organizations and structures create a new tension between interdependence and independence. The forces of aggregation and disaggregating, throw-up new challenges for organizations, e.g., the use of independent contractors, joint ventures, strategic partnerships and alliances even with competitors.

3) **Flextime:** This is a system wherein employees choose their starting and quitting times from a range of available hours. These periods are usually at either end of a "core" time during which most company business takes place. Formerly regarded as a rare, cutting-edge workplace arrangement, flextime is now commonly practiced in a wide variety of industries. Flexible work programs are work arrangements wherein employees are given greater scheduling freedom on how they fulfil the obligations of their positions. The most commonplace of these programs is flextime, which given workers far greater leeway in terms of the time when they begin and end work, provided they put in the total number of hours required by the employer. Other common flexible working arrangements involve telecommuting, job-sharing, and compressed work weeks.

4) **Flat Hierarchy:** Modern organizations have flat hierarchy and horizontal structure as it is based on the process than tasks. Costs have considerably reduced to one third due to horizontal structure. Workforce is contingent than permanent as most of the work is done through part-time workers in the modern organization.

5) **Downsizing:** Organisations have responded in different ways to the changes that have been occurring in the environment. There is no doubt that there has been significant restructuring going on in both the public and private sectors for the past ten years and there is speculation that it will continue for a number of years yet. The restructuring includes various strategies. Downsizing, mergers, acquisitions, and outsourcing are some of the more common strategies employed. Downsizing has been very prominent in recent years and consists of a reduction in employees aimed at reducing costs and/or altering the organisation's structure.

6) **Teams Building:** Teams are built for designing and maintaining various strategies to interact with external environment effectively. In order to improve the upward communication surveys are conducted. Increase in the use of electronic brainstorming to improve the quality of ideas and work. There is a tendency to shift the focus from time to time according to the situations.

7) **Quality Management:** There are various steps which can help in making the quality management such as to create constant purpose to improve the product and service, by adopting new philosophy, avoid mass inspection, to end the practice of price tag in business, emphasizing more on improving the system of production and service, adopting new methods of training, implement leadership, be out of fear, to break-down barriers between staff areas, to eliminate slogans, exhortation and targets for the workforce, to eliminate numerical quotas, to remove the barriers affecting the pride of the organization and workforce, and to take necessary action for the transformation.

8) **Six Sigma Approach:** There is one more approach called "Six Sigma" approach which defines the concept of achieving the targets by determining the product to be produced, to determine who are the customers, to determine the suppliers, to find-out the process to

accomplish the goal, to evaluate the process and eliminate the non-valued-added steps and to establish the measurement criteria and the drive for continuous improvement.

Quality should be maintained keeping in mind the orientation of workforce, by empowering job into business, being loyal, creating open talk show with the employees, motivating training programmes, and having perpetual change to match the flow of the organization.

9) **Re-Engineering:** It involves a total re-design of operations by analyzing jobs and asking, how this work can be done most efficiently, rather than modifying current work procedures. The re-engineering process begins with a clean slate and plans the job from beginning to end. Unsaddled with previous work procedures and rules, re-engineering allows the organization to criminate inefficiencies and increase productivity.

Although there are many different approaches, re-engineering can be broken down into several steps. The goal of these steps is to improve efficiency and performance. Under the re-engineered process, employees must becomes part of and must be trained in the way of carrying-out tasks.

10) **Information Technology:** The other major environmental development is that of the computers which poses a challenge to the management of organizations today. In other words, to perform better organizations must employee new technologies and inventions to remain competitive. As the advancements are so much in this field, organizations have to update their knowledge every few months later to have a knowledge of new software and equipments which is a problem and more importantly the organizations have to employees people that can use these new techniques and machines and training and employing these people is a very difficult thing to do.

11) **Learning Organisations**: In a world where environments are continually changing, it is critical that an organizations detects and quickly corrects its own errors. This requires continuous feedback to, and within, the organization. Continual feedback allows the organization to 'unlearn' old beliefs and remain open to new feedback, uncoloured by long-held beliefs.

In a learning organization, managers do not direct as much as they facilitate the workers' applying new information and learning from that experience. Managers ensure time to exchange feedback, to inquire and reflect about the feedback, and then to gain consensus on direction. The learning organization is continually expanding its capacity to create its future. For a learning organization, 'adaptive learning' must be joined by 'generative learning,' learning that enhances its capacity to create.

12) **Modernisation:** It is given rise to manage the multinational organizations as they are in large nukber. The multinationals are spread all over the world but owned and controlled by the headquarters. It has various features as they have to work in different legal, political and economic system, face tough competition from multinationals as well as from the local industries, need to be flexible, organizational structure is flat, prefer to appoint the people with global view, need to train multi-skills to the employees, special training in respect of cross-culture and socialization, to maintain a balance between the

countries to maintain good relations for the sake of running effective business in their country. It is very essential to maintain global culture within the organizations to have effective and fruitful business in various countries by creating clear and simple background which supports their culture and needs. They need to develop global career paths and to use cultural differences as a major asset.